INDUSTRY RATING
Machinery: Overweight
Construction & Engineering: Overweight
(NBC Economics and Strategy)

Industrial Products

AFN / WSP wrap-up note post Q1/26 conference calls

AFN (Sector Perform, $24.00 PT unchanged) - with so much leverage and farm economics under pressure, we would rather sit this one out

The volatility of financial outcomes that we have seen with AFN over the years is very large; hence, identifying the path to success amid a worsening balance sheet backdrop, soft Farm economics, and different go-to-market strategy in Commercial is tricky, to say the least. While we all wait for the cycle to turn, leverage does make us feel nervous and the rollback of ERP implementation also tells us that processes and the level of real-time granularity is being sent backwards several steps to a number of years ago whereas greater oversight is actually what the company requires at this moment. Some are clearly hoping for a takeout but don't forget that Kepler is technically still available, providing the best exposure to Brazil without the operational / balance sheet pressure. Macro normalization needs to happen rapidly to right this ship. We reiterate our Outperform rating and $24.00 price target on AFN shares, derived using a 7.0x EV/EBITDA multiple on blended 2026E / 2027E forecasts.

WSP (Outperform, $272.00 PT from $268.00) - trusting the management team to do the right things

Margin performance has been a standout metric, accelerating from +20 bps in Q4/25 improvement to +80 bps y/y in Q1/26, enabling the company to likely reach the bottom of its 2027E EBITDA range one year earlier; this is impressive while also growing the top line at a +5% clip, organically. The addition of TRC / POWER makes the company a leading franchise in the T&D / data centre / grid hardening space in the U.S. (30% of the geography's top line); the composition of the company's assets along transport, buildings, environmental services and now power as second to none. Management continues to view M&A as the #1 capital deployment opportunity; with material changes taking place in the industry (of course, AI investments but also succession planning on the part of private firms), being a patient acquirer is likely the best risk-adjusted strategy. WSP remains a steadfast performer amid a churning industry narrative. We believe that sticking around should yield a positive shareholder outcome. We reiterate our Outperform rating on WSP shares and nudge our price target to $272.00 (from $268.00) on higher earnings projections; our target price is derived using a 15.0x EV/EBITDA multiple on blended 2026E/2027E forecasts with a 25% likelihood of large-scale M&A.

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For required disclosures, please refer to the end of the document.

AFN (Sector Perform, $24.00 PT unchanged) - with so much leverage and farm economics under pressure, we would rather sit this one out

The volatility of financial outcomes that we have seen with AFN over the years is very large; hence, identifying the path to success amid a worsening balance sheet backdrop, soft Farm economics, and different go-to-market strategy in Commercial is tricky, to say the least. While we all wait for the cycle to turn, leverage does make us feel nervous and the rollback of ERP implementation also tells us that processes and the level of real-time granularity is being sent backwards several steps to a number of years ago whereas greater oversight is actually what the company requires at this moment. Some are clearly hoping for a takeout but don't forget that Kepler is technically still available, providing the best exposure to Brazil without the operational / balance sheet pressure. Macro normalization needs to happen rapidly to right this ship. We reiterate our Outperform rating and $24.00 price target on AFN shares, derived using a 7.0x EV/EBITDA multiple on blended 2026E / 2027E forecasts.

Figure 1: AFN - NAV

EV / EBITDA Multiple		2022A	2023A	2024A	2025A	2026E	2027E	Target 2026E / 2027E
Adjusted EBITDA	**7.0x**	$236	$294	$265	$205	$193	$207	**$1,402**
Minus: Net Debt / (Cash) at Period-End, Including Leases and Converts								$941
Minus: Provisions for Legal Liability and Rework Remediation								$15
Equity Value								**$446**
Diluted Shares Outstanding*								18.8
Net Asset Value (NAV)								**$23.69**
Current Share Price								$20.46
Potential Appreciation (Inclusive of Dividend)								**15.8%**

Source: NBCM, Company reports, LSEG

Conference call takeaways - some silver linings, but macro and leverage headwinds suggest a slow climb back

- **Some initial momentum in Farm, but hard to call a sustained turnaround for now.** The initial momentum for the North American Farm segment is cautiously optimistic, with order intake running at a decent pace (again, off highly depressed levels). That said, spiking diesel and fertilizer prices will likely exert incremental pressure on farmer incomes and the persistent macro uncertainty is still creating a sentiment of cautious hesitancy when it comes to committing incremental CapEx dollars (in both Farm and Commercial). One silver lining is the normalization of inventory levels in North America after several quarters at elevated levels, eliminating some of the "slack" in demand for AFN.
- **Shifting Brazil Commercial work back towards equipment-only work.** Management has paused offering general contracting services and financing solutions for the large scale Commercial projects in Brazil that partially mitigated the top line decline in recent prints, and is choosing to focus on less capital intensive, equipment-only traditional offerings to de-risk the earnings profile and preserve W/C. The run-off of legacy projects will create tougher revenue comps in the near term and reduce both visibility and margins in the segment somewhat, though we believe this is a necessary step in the current environment. In addition, given competitive pressures globally, management has taken to reducing prices for project work in order to preserve market share.
- **Elevated debt levels necessitate aggressive cash conservation.** Leverage is undoubtedly too high at 5.2x (4.7x pro forma the monetization of Brazil A/R), with both lower profitability and significant FCF outflows (-$69 mln in Q1/26 and -$123 mln on an LTM basis) working against the metric. The increased run-rate cost savings from restructuring (now targeting $30 mln annualized vs. $20 mln prior) should mitigate B/S deterioration somewhat, and management continues to evaluate non-core asset sales and scrutinize incremental CapEx (overall ROIC hurdle rate remains at 15%). The previously announced cancellation of the new ERP is expected to save $20 mln - though this is of course after already spending $33 mln between 2024 and 2025 – and operations have

now gone back on the legacy system, a yo-yoing of both strategy and execution that no doubt raised eyebrows with investors. Currently, there is still a long road ahead before leverage returns to the company's 2.5x target.

Q1/26 results recap - modest beat on revenue/EBITDA (with many, many adjustments) vs. drastically lowered expectations but continued margin pressure; Commercial weakness more pronounced while Farm benefits from easy comps

By region, performance was +59% / -21% / -1% for Canada / U.S. / International, respectively, reflecting easy Canada comps (tariff-related timing) offset by U.S. normalization and softer international markets (India had consumer softness). Adjusted EBITDA of $25.2 mln declined -19% y/y but came in +3% above consensus at $24.5 mln, supported by cost containment efforts and lower SG&A following restructuring initiatives (but mainly due to lowered expectations after last quarter and a litany of exclusions from the headline of EBITDA). Margin of 8.9% was down -197 bps y/y (-20 bps vs. the Street), reflecting ongoing mix pressure and lower Commercial profitability. Adjusted EPS came in at -$0.93, below our estimate at -$0.69 and Street at -$0.56.

By-segment performance:

- In **Farm**, revenue was $102 mln, up +7% y/y, driven primarily by strong Canada (+94% y/y) on very easy comps (tariff-related pre-shipments in Q1/25), partially offset by U.S. declines (-24%; unusually tougher comps due to tariffs) and softer International (-8%). Underlying market conditions remain muted despite early signs of stabilization, as farmer sentiment continues to be impacted by commodity price volatility, elevated input costs and broader macro uncertainty – now in India as well. EBITDA margin in Farm was 18.5%, down -162 bps y/y, reflecting lower-margin sales mix (higher proportion of storage equipment), partially offset by cost-saving initiatives.
- In **Commercial**, revenue was $180 mln, down -6% y/y, with weakness across North America and India, partially offset by the large project execution in Brazil (completion to be expected in 2026E). North America remained soft due to lower permanent material handling volumes, while India saw demand pressure from regional conflict, low rice prices and policy uncertainty, while EMEA faced a difficult comp from prior-year large contracts. EBITDA margin was 7.6%, down sharply -520 bps y/y, driven by lower volumes, underutilization of labour in North America and market-driven softness internationally, partially offset by cost containment and restructuring actions. While management expects sequential margin improvement into Q2/26, a full recovery remains contingent on a broader demand rebound across key markets.

Leverage remains elevated at 5.2x vs. 3.6x in Q1/25 due to lower EBITDA in the LTM but should be slightly offset by a post-quarter ~$105 mln receivable release from Brazil escrow (with ~$55 mln already received, making pro forma number closer to 4.7x leverage). FCF for the quarter came in at approximately -$69 mln vs. -$58 mln in Q1/25, driven by lower net income and higher working capital usage (notably receivables), partially offset by lower CapEx.

Figure 2: AFN - Q1/26 Results Highlights

($ 000's, unless otherwise noted)	Actual Q1/26A	NBCM Q1/26E	Actual Q1/26A	Y/Y Actual Growth	Actual vs. Estimates	Comments
Revenue						Y/Y revenue growth by region
Farm	$102,003	$98,809	$95,095	7.3%	3.2%	Canada (+94%) / US (-24%) / International (-8%)
Commercial	$180,164	$155,305	$191,651	-6.0%	16.0%	Canada (-16%) / US (-18%) / International (-1%)
Total Revenue	**$282,167**	**$254,113**	**$286,746**	-1.6%	11.0%	**Consensus: $270 mln**
Total Adjusted EBITDA	**$25,200**	**$23,058**	**$31,265**	-19.4%	9.3%	**Consensus: $24.5 mln**
Adjusted EBITDA Margin	*8.9%*	*9.1%*	*10.9%*	*-197 bps*	*-14 bps*	Farm (18.5% margin down from 20.2% in Q1/25 - lower margin sales mix); Commercial (7.6% margin down from 12.8% in Q1/25 - Market softness in India and lower volumes in North America)
Adj. EPS Fully Diluted*	**($0.93)**	**($0.69)**	**($0.25)**	269.0%	34.1%	**Consensus: -$0.56**

Source: NBCM, Company reports, LSEG

** Adj EPS adds back after tax charges related to FX hedging, Deriatives, ERP, Restructuring, and Impairment. Gaap EPS was -$2.35*

Change in estimates - slightly improved topline decline offset by shift to lower margin equipment focus in Commercial

The quarter was better than expected on paper, leading us to moderate our 2026E full year revenue declines and margin compression in Farm to be the relatively better performer (off depressed comps). However, the persistence of restructuring costs will weigh on FCF in the near term despite us lowering our CapEx outlook as management seeks to preserve cash, and the shift to lower risk equipment-only projects in Brazil moderates a meaningful margin rebound in 2027E.

Figure 3: AFN - Change in Estimates

					Y/Y Revenue Growth	
					-8.2%	1.2%
($ 000's, except EPS figures)	Q1/26A	Q2/26E	Q3/26E	Q4/26E	2026E	2027E
Revenue	**$282,167**	**$319,329**	**$354,077**	**$347,896**	**$1,303,469**	**$1,319,716**
Prior Revenue	$254,113	$312,070	$348,988	$343,292	$1,258,464	$1,274,692
Adjusted EBITDA	**$25,200**	**$53,609**	**$64,652**	**$49,748**	**$193,209**	**$207,332**
Prior Adjusted EBITDA	$23,058	$46,129	$63,838	$49,195	$182,221	$209,559
Adjusted EBITDA Margin	**8.9%**	**16.8%**	**18.3%**	**14.3%**	**14.8%**	**15.7%**
Prior EBITDA Margin	9.1%	14.8%	18.3%	14.3%	14.5%	16.4%
Adjusted EPS	**($0.29)**	**($0.18)**	**$0.85**	**$0.28**	**$0.66**	**$2.61**
Prior Adjusted EPS	($0.69)	$0.09	$0.86	$0.30	$0.56	$2.20

Source: NBCM, Company reports

Comps

Table 1: Agricultural Equipment Comps

	Ticker	Rating	Trading Currency	Local Price	Target Price	Dividend Annual	Dividend Yield	Total Return	% Off 52-wk High	Market Cap ($ mln)	EPS 2026E	EPS 2027E	P/E 2026E	P/E 2027E	EBITDA ($ mln) 2026E	EBITDA ($ mln) 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E
Ag Growth International Inc	AFN.TO	SP	CAD	$20.46	$24.00	$0.00	0.0%	17%	-54%	$385	$0.66	$2.61	31.1x	7.8x	$193	$207	7.4x	6.9x
Agricultural Storage & Manufacturing Comps																		
AGCO Corp	AGCO.N	NR	USD	$120.25	NA	$1.16	1.0%	NA	-16%	$8,707	$5.91	$8.06	20.3x	14.9x	$1,100	$1,353	10.1x	8.2x
Kepler Weber SA	KEPL3.SA	NR	BRL	$7.79	NA	$0.84	10.7%	NA	-26%	$1,400	$0.61	$0.85	12.7x	9.2x	$233	$276	6.1x	5.2x
Median							5.9%		-21%				16.5x	12.0x			8.1x	6.7x
Agricultural Machinery & Equipment Manufacturing																		
Deere & Co	DE.N	NR	USD	$589.14	NA	$6.48	1.1%	NA	-13%	$159,131	$17.90	$22.94	32.9x	25.7x	$7,102	$8,557	30.4x	25.2x
CNH Industrial NV	CNH	NR	USD	$10.92	NA	$0.10	0.9%	NA	-24%	$13,534	$0.41	$0.73	26.8x	14.9x	$1,049	$1,540	36.0x	24.5x
Lindsay Corp	LNN	NR	USD	$114.68	NA	$1.45	1.3%	NA	-24%	$1,192	$5.08	$6.34	22.6x	18.1x	$84	$97	13.3x	11.4x
Median							1.1%		-24%				26.8x	18.1x			30.4x	24.5x
Food Processing & Handling Companies																		
ATS Corp	ATS.TO	OP	CAD	$46.53	$57.00	$0.00	0.0%	23%	-2%	$4,563	$2.12	$2.33	22.0x	19.9x	$419	$453	13.5x	12.5x
JBT Marel Corp	JBTM.K	NR	USD	$140.88	NA	$0.40	0.3%	NA	-17%	$7,333	$8.27	$9.37	17.0x	15.0x	$709	$780	12.5x	11.3x
Alfa Laval AB	ALFA.ST	NR	SEK	$555.40	NA	$9.00	1.6%	NA	-4%	$229,561	$22.40	$24.32	24.8x	22.8x	$14,983	$16,144	16.6x	15.4x
Middleby Corp	MIDD.O	NR	USD	$155.44	NA	$0.00	0.0%	NA	-8%	$7,247	$9.30	$10.41	16.7x	14.9x	$764	$811	11.2x	10.6x
Median							0.1%		-6%				19.5x	17.5x			13.0x	11.9x

Source: NBCM, Company reports, LSEG

** ATS estimates are on an FY + 1 basis*

WSP (Outperform, $272.00 PT from $268.00) - trusting the management team to do the right things

Margin performance has been a standout metric, accelerating from +20 bps in Q4/25 improvement to +80 bps y/y in Q1/26, enabling the company to likely reach the bottom of its 2027E EBITDA range one year earlier; this is impressive while also growing the top line at a +5% clip, organically. The addition of TRC / POWER makes the company a leading franchise in the T&D / data centre / grid hardening space in the US (30% of the geography's top line); the composition of the company's assets along transport, buildings, environmental services and now power as second to none. Management continues to view M&A as the #1 capital deployment opportunity; with material changes taking place in the industry (of course, AI investments but also succession planning on the part of private firms), being a patient acquirer is likely the best risk-adjusted strategy. WSP remains a steadfast performer amid a churning industry narrative. We believe that sticking around should yield a positive shareholder outcome. We reiterate our Outperform rating on WSP shares and nudge our price target to $272.00 (from $268.00) on higher earnings projections; our target price is derived using a 15.0x EV/EBITDA multiple on blended 2026E/2027E forecasts with a 25% likelihood of large-scale M&A.

Figure 4: WSP - NAV

EV/EBITDA Multiple (ex. IFRS 16)								Target
($000's, except per-share data)		2021A	2022A	2023A	2024A	2025A	2026E	2027E	2026E / 2027E
Adjusted EBITDA	**15.0x**	**$1,044,000**	**$1,195,200**	**$1,564,000**	**$1,828,600**	**$2,173,900**	**$2,620,924**	**$3,024,592**	**$40,827,609**
Minus: Net Debt / (Cash) at Period-End									$4,751,031
Equity Value									**$36,076,578**
Shares Outstanding									135,068
Net Asset Value (75% Probability)									**$267.10**
WSP Pro-Forma Large-Scale M&A Valuation (25% Probability)									**$287.13**
M&A Probability-Weighted Net Asset Value									**$272.11**
Current Share Price									$223.75
Potential Appreciation to NAV - All-Inclusive (Includes Dividend Yield)									**22.3%**

Source: NBCM, Company reports, LSEG

** We apply the multiple to 75% 2026E and 25% 2027E estimates and assume 7.5% accretion for M&A valuation*

Conference call takeaways - AI as capacity enabler, power/energy momentum, and backlog visibility underpin confidence + sticking to M&A as capital allocation priority

- **AI (once again) framed as a capacity and quality enhancer rather than a pricing headwind**. Management pushed back on the idea that AI compresses revenue, instead emphasizing better design quality, more scenario analysis, and risk mitigation; with industry labour supply growing ~1% vs. WSP's 4-7% organic growth, AI is seen as a way to unlock capacity in a constrained talent environment (hence y/y +80 bps margin expansion – best in class vs. peers). Broad internal adoption (tools rolled out to 30k+ employees, with likely majority usage) and ongoing ~$100-200 mln R&D/digital spend support this view. AI should be margin- and revenue-accretive (via higher throughput and value-added work), reinforcing WSP's structural growth vs. fears of billable hour deflation (see our recent note - *WSP remains on the front foot as technical expertise teach-in highlights the company's digital capabilities*).
- **Power & energy remains the core growth engine, driven by electrification and grid investment**. Record backlog growth is also driven by strong demand across IOUs, transmission/distribution (~60-70% of power mix), data centre load growth, and aging infrastructure replacement; early TRC integration (as well as POWER acquisition last year that grew +10% y/y organically) is already driving +100 bps U.S. margin uplift and cross-sell opportunities across the full utility customer set.
- **APAC recovery timing driven by Australia normalization; broader global outlook improving**. New Zealand has returned to growth, Australia backlog has been building and is expected to return to growth by Q2/Q3 of 2026E, supporting overall APAC recovery; management reiterated greater confidence vs. last year across all regions – supporting 2026 organic acceleration (+5% y/y) vs. 2025E (3.5% y/y).

- **Capital allocation unchanged - M&A remains top priority**. After ~$6-7 bln deployed (incl. TRC), leverage sits at the high end of 2.3x (will come down by year-end as TRC fully flows through and co generates material FCF), but pipeline discussions remain active and strategic M&A is still prioritized over buybacks (as WSP continues to believe in capability expansion via inorganic growth vs. repurchase-led EPS accretion); company's track record, early integration success and margin uplift validate the playbook.

Q1/26 results recap - slight beat across revenue, EBITDA and EPS, supported by strong productivity; outlook marginally upped at bottom range of EBITDA for 2026E

Net revenue for the quarter came in at $3,709 mln, up +10.8% y/y, and +1% above consensus of $3,681 mln (NBCM at $3,599 mln). Growth was primarily driven by +9.0% acquisition growth - TRC (Feb '26) and Ricardo (Oct '25) acquisitions - whereas POWER is now part of organic growth (+5% y/y for the company, normalizing for fewer billing days; +3.1% y/y nominally). Adjusted EBITDA for the quarter came in at $622 mln, implying a 16.8% margin, up +80 bps y/y, and +3% above Street at $606 mln (NBCM at $600 mln). Margin expansion was largely driven by improved productivity and favourable FX hedging impacts (vs. losses last year). Similarly, Adjusted EPS arrived at $2.21, up +26% y/y, and above Street at $2.07 and NBCM at $2.00.

On a consolidated basis, organic growth came in at +5% y/y (when adjusted for fewer billable days; +3% y/y unadjusted). All regions contributed positively at the consolidated level (except APAC). Backlog reached a record $19.75 bln, representing ~11.5 months of work, up +19% y/y, driven by both organic intake (+3.4% y/y) and the TRC acquisition.

On a by-geography basis (and unadjusted for billable days):

- In Canada - net revenue grew +5.6% y/y (+7.3% adjusted) organically, driven by strength in Transport & Infrastructure and Power & Energy. Segment EBITDA margin came in at 20.5%, up +60 bps y/y, supported by improved productivity and operating leverage. Backlog was up +8.6% y/y organically with many subsequent orders signed post-quarter end.
- In Americas - net revenue increased +9.9% y/y total, including +12.6% acquisition growth (TRC) and +2.4% organic (5.3% adjusted) but offset by a -4.5% FX headwind. EBITDA margin expanded to 20.9%, up +190 bps y/y, supported by improved project execution and FX hedging gains (+80 bps contribution). Backlog was up +23% y/y (+1.4% organic y/y).
- In EMEIA - net revenue grew +19.1% y/y total, with +6.7% organic growth (+8.4% adjusted) led by strong performance in the UK and Europe, alongside acquisition contributions from Ricardo (+10.5% y/y). FX also contributed +3.8% y/y. EBITDA margin declined to 14.5% (-80 bps y/y), reflecting lower project performance in Central Europe and Nordics weakness. Backlog was up +18% y/y (3.2% organic y/y).
- In APAC - net revenue increased +1.4% y/y total, though organic contraction of -6.1% (-3.9% adjusted) persists due to ongoing weakness in Asia and prior rightsizing efforts. This was offset by FX (+2.6% y/y) and M&A (+4.9% y/y). EBITDA margin improved to 12.7% (up +120 bps y/y), supported by stronger performance in Australia/New Zealand and easier comps due to right-sizing efforts. Backlog was up +16.2% y/y (5.8% organic y/y) primarily due to Australia's infra recovery which points to brighter days ahead for this geography.

FCF to the firm came in at -$29 mln vs. +$116 mln in Q1/25, reflecting tougher comps due to a $195 mln factoring benefit in the prior year benefitting W/C, which distorts y/y comparisons. Excluding this, underlying FCF improved on stronger EBITDA and working capital management. Leverage stood at 2.3x, above the target range (1.0x to 2.0x) following debt-funded acquisitions (TRC) but still manageable given strong cash generation and backlog visibility and is expected to fall in that target range by year-end.

Figure 5: WSP - Q1/26 Results Highlights

($ 000's, except EPS figures)	Q1/26A	NBCM Q1/26E	Q1/25A	Y/Y Actual Growth	Actual vs. Estimates	Comments
Net Revenue	**$3,709,000**	**$3,599,232**	**$3,347,300**	10.8%	3.0%	**Consensus: $3,681 mln**
Adjusted EBITDA*	**$622,200**	**$599,856**	**$533,900**	16.5%	3.7%	**Consensus: $606 mln**
Adjusted EBITDA Margin	*16.8%*	*16.7%*	*16.0%*	*83 bps*	*11 bps*	Continued focus on productivity; FX hedging gains
Legacy Adjusted EBITDA* (ex. IFRS 16)	**$527,900**	**$506,056**	**$440,700**	19.8%	4.3%	
Legacy Adjusted EBITDA Margin	*14.2%*	*14.1%*	*13.2%*	*107 bps*	*17 bps*	ex-leases
Adjusted EPS*	**$2.21**	**$2.00**	**$1.76**	25.6%	10.6%	**Consensus: $2.07**

Source: NBCM, Company reports, LSEG

** Includes adding back $106.5 mln / $35.7 mln in M&A costs and $19.1 mln / $17.1 mln in ERP costs for the quarter ended March 31st 2026 / 2025 respectively.*

Change in estimates – slight tweaking on upped guide for Q2/26E

With today's solid beat on margin and growth, we slightly raised our Q2/26E numbers to align with the company's guide (although towards the low end of the range – as Q2 margin guide implies +60 bps y/y expansion on the low end which is greater than what peers are forecasting). The company also expects to achieve its 2027E +19% EBITDA margin target (bottom of the 2027E strategic plan) a year earlier. We also modestly adjusted our ERP, M&A integration costs, and D&A assumptions to better align with company guidance, reflecting our expectation that M&A integration and ERP-related expenses will trend downward as Q1 had an accelerated cadence for these items.

Figure 6: WSP - Change in Estimates

					Y/Y Revenue Growth	
					16.7%	*5.6%*
($ 000's, except EPS figures)	Q1/26A	Q2/26E	Q3/26E	Q4/26E	2026E	2027E
Net Revenue	**$3,709,000**	**$4,127,760**	**$4,127,760**	**$4,329,390**	**$16,293,910**	**$17,199,780**
Prior Net Revenue	$3,599,232	$4,122,846	$4,122,846	$4,324,297	$16,169,221	$17,179,929
Adjusted EBITDA	**$622,200**	**$777,969**	**$855,960**	**$835,317**	**$3,091,446**	**$3,367,014**
Prior Adjusted EBITDA	$599,856	$768,772	$854,941	$834,364	$3,057,934	$3,363,204
Adjusted EBITDA Margin	**16.8%**	**18.8%**	**20.7%**	**19.3%**	**19.0%**	**19.6%**
Prior Adjusted EBITDA Margin	16.7%	18.6%	20.7%	19.3%	18.9%	19.6%
Adjusted Diluted EPS	**$2.21**	**$2.81**	**$3.25**	**$3.05**	**$11.32**	**$12.79**
Prior Adjusted Diluted EPS	$2.00	$2.69	$3.30	$3.00	$10.99	$12.58
Legacy Adjusted EBITDA (ex. IFRS 16)	**$527,900**	**$661,879**	**$725,384**	**$705,761**	**$2,620,924**	**$3,024,592**
Legacy Prior Adjusted EBITDA	$506,056	$654,272	$726,141	$706,564	$2,593,034	$3,027,304
Legacy Adjusted EBITDA Margin	**14.2%**	**16.0%**	**17.6%**	**16.3%**	**16.1%**	**17.6%**
Prior Legacy Adjusted EBITDA Margin	14.1%	15.9%	17.6%	16.3%	16.0%	17.6%

Source: NBCM, Company reports

Comps

Table 2: E&C Comps

Canadian Comps	Ticker	Rating	Trading Currency	Local Price	Target Price	Dividend Annual	Dividend Yield	Total Return	%Off 52-wk High	Market Cap ($ mln)	EPS 2026E	EPS 2027E	P/E 2026E	P/E 2027E	EBITDA ($ mln) 2026E	EBITDA ($ mln) 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E
WSP Global Inc	WSP.TO	OP	CAD	$223.75	$272.00	$1.50	0.7%	22%	-23%	$30,165	$11.32	$12.79	19.8x	17.5x	$2,621	$3,025	14.2x	12.3x
Stantec Inc	STN.TO	OP	CAD	$125.13	$143.00	$0.98	0.8%	15%	-22%	$14,273	$6.18	$6.95	20.3x	18.0x	$1,112	$1,239	14.1x	12.7x
Atkinsrealis Group Inc	ATRL.TO	OP	CAD	$97.43	$108.00	$0.08	0.1%	11%	-9%	$16,120	$4.21	$4.86	22.8x	19.6x	$1,088	$1,234	14.3x	12.6x
Aecon Group Inc	ARE.TO	OP	CAD	$56.93	$59.00	$0.77	1.4%	5%	0%	$4,072	$1.41	$1.70	38.3x	32.0x	$259	$286	16.7x	15.1x
Bird Construction Inc	BDT.TO	OP	CAD	$55.10	$48.00	$0.84	1.5%	-11%	-2%	$3,052	$2.69	$3.37	20.5x	16.4x	$239	$291	13.5x	11.1x
NA Const. Group	NOA.TO	OP	CAD	$19.69	$28.00	$0.48	2.4%	45%	-21%	$573	$2.86	$3.75	6.9x	5.3x	$388	$407	3.5x	3.4x
Median							**1.1%**	**13%**	**-15%**				**20.4x**	**17.7x**			**14.2x**	**12.4x**
U.S. Comps																		
Jacobs Solutions Inc	J	NR	USD	$122.43	NA	$1.28	1.0%	NA	-27%	$14,457	$7.18	$8.18	17.1x	15.0x	$1,385	$1,533	12.7x	11.5x
AECOM	ACM	OP	USD	$82.87	$127.00	$1.24	1.5%	55%	-39%	$10,937	$5.87	$6.80	14.1x	12.2x	$1,278	$1,462	9.7x	8.5x
Tetra Tech Inc	TTEK.O	OP	USD	$31.07	$38.00	$0.26	0.8%	23%	-28%	$8,137	$1.54	$1.77	20.2x	17.5x	$653	$727	13.5x	12.1x
Fluor Corp	FLR	NR	USD	$52.69	NA	$0.00	0.0%	NA	-8%	$7,540	$2.76	$3.25	19.1x	16.2x	$547	$619	9.3x	8.2x
KBR Inc	KBR	NR	USD	$34.17	NA	$0.66	1.9%	NA	-40%	$4,332	$3.97	$4.18	8.6x	8.2x	$994	$1,011	6.7x	6.6x
Tutor Perini Corp	TPC	NR	USD	$81.39	NA	$0.06	0.1%	NA	-19%	$4,282	$4.40	$5.78	18.5x	14.1x	$443	$519	10.9x	9.3x
Median							**0.9%**		**-28%**				**17.8x**	**14.5x**			**10.3x**	**8.9x**
International Comps																		
Sweco AB (publ)	SWECb.ST	NR	SEK	$130.10	NA	$3.70	2.8%	NA	-28%	$47,259	$7.06	$7.81	18.4x	16.7x	$3,420	$3,852	15.6x	13.8x
Arcadis NV	ARDS.AS	NR	EUR	$36.90	NA	$0.89	2.4%	NA	-28%	$3,337	$3.03	$3.50	12.2x	10.5x	$446	$499	9.3x	8.3x
Worley Ltd	WOR.AX	NR	AUD	$12.29	NA	$0.50	4.1%	NA	-17%	$6,022	$0.81	$0.97	15.2x	12.7x	$979	$1,089	7.9x	7.1x
Acciona SA	ANA.MC	NR	EUR	$254.80	NA	$5.65	2.2%	NA	-2%	$13,977	$8.63	$9.62	29.5x	26.5x	$2,681	$2,799	8.5x	8.2x
Saipem SpA	SPMI.MI	NR	EUR	$4.33	NA	$0.17	3.9%	NA	-10%	$8,649	$0.22	$0.30	19.3x	14.3x	$1,930	$2,085	5.0x	4.6x
Sacyr SA	SCYR.MC	NR	EUR	$4.78	NA	$0.00	0.0%	NA	-3%	$3,852	$0.26	$0.25	18.4x	19.2x	$1,416	$1,489	8.4x	8.0x
Balfour Beatty PLC	BALF.L	NR	GBP	$8.61	NA	$0.23	2.6%	NA	0%	$4,187	$0.49	$0.56	17.5x	15.4x	$400	$431	8.4x	7.8x
Tecnicas Reunidas SA	TRE.MC	NR	EUR	$36.12	NA	$0.00	0.0%	NA	-7%	$2,900	$2.57	$3.27	14.0x	11.0x	$380	$443	7.1x	6.1x
Median							**2.5%**		**-8%**				**18.0x**	**14.8x**			**8.4x**	**7.9x**

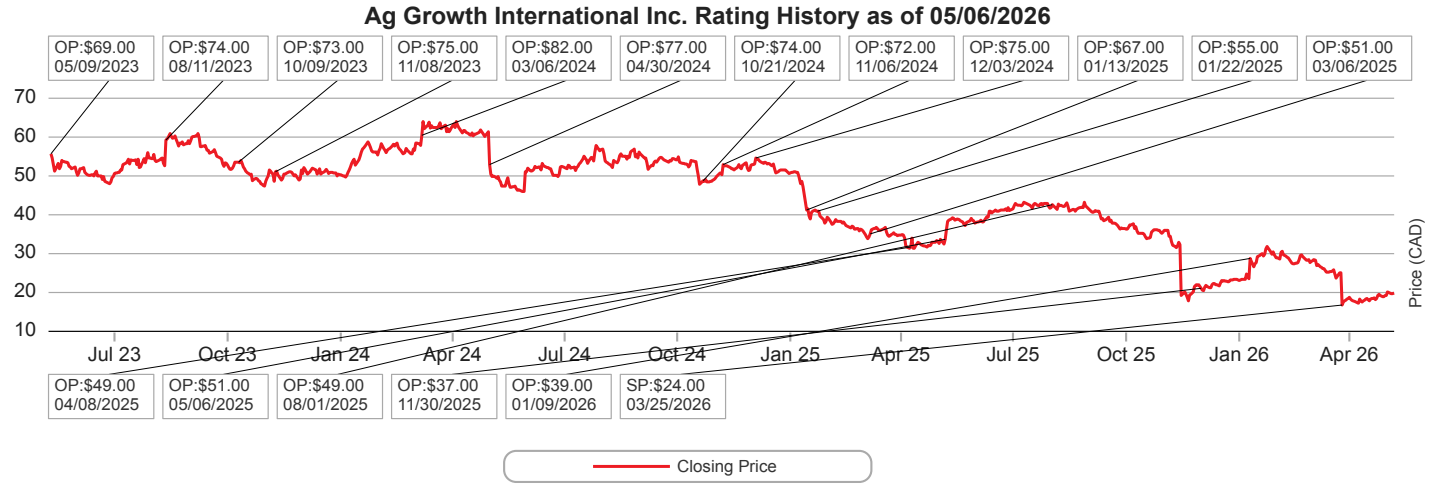
Source: NBCM, Company reports, LSEG

** Note that AtkinsRéalis and Aecon estimates are comped ex-concessions and Bermuda, respectively.*

*** Canadian EBITDA estimates and multiples are based on ex-IFRS 16 (subtract lease payments) for an apples-to-apples comparison with US peers.*

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AFN

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WSP

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Aecon Group Inc. 2, 3, 4, 7
AtkinsRéalis Group Inc. 2, 3, 4, 6, 7, 10, 13, 14, 1001
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428 An NBCM Analyst attended a tour of ATS's Life Science Systems in Rolling Meadows, IL on February 5, 2026. None of the Analyst's expenses were paid by the issuer.

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